Brown Energy - Form 10-K Extract (Fiscal 2023)

Item 1. Business

Brown Energy is a energy company operating through three reportable segments: Upstream,

Refining and Renewables. Our principal executive offices are located in Phoenix, Arizona. As of the end of fiscal 2023, we employed approximately 91,867 people worldwide. We sell to customers in more

than 117 countries and our strategy emphasises disciplined capital

allocation, operational excellence and organic growth.

Item 1A. Risk Factors

- Changes in interest rates could adversely affect our net interest margin and the fair value of our fixed-income investment portfolio. Regulators in several jurisdictions have increased their scrutiny of this area, which could raise our compliance costs. The occurrence of any of these events could have a material adverse effect on our business, financial condition and results of operations.

- Acquisitions may not deliver the expected synergies and could divert management attention. Insurance coverage may not be sufficient to cover all losses arising from these risks. Regulators in several jurisdictions have increased their scrutiny of this area, which could raise our compliance costs.

- A downturn in global economic conditions could reduce demand for our products. Regulators in several jurisdictions have increased their scrutiny of this area, which could raise our compliance costs. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances.

- Our international operations expose us to foreign-exchange volatility, sanctions regimes and differing tax laws. Regulators in several jurisdictions have increased their scrutiny of this area, which could raise our compliance costs. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances.

- Cybersecurity incidents could result in the loss of confidential data, regulatory penalties and reputational harm. We have experienced such events in the past and expect to continue to face them. Regulators in several jurisdictions have increased their scrutiny of this area, which could raise our compliance costs.

- Litigation and regulatory investigations could result in significant fines or restrictions on our business. We monitor this exposure through our enterprise risk management framework and report it to the Audit Committee each quarter. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances.

- Intense competition could reduce our market share or force us to lower prices. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances. Regulators in several jurisdictions have increased their scrutiny of this area, which could raise our compliance costs.

Item 2. Properties

We own or lease manufacturing, distribution, research and office facilities in North America, Europe and Asia. We believe our facilities are suitable and adequate for our current needs and that additional space can be obtained on commercially reasonable terms if required.

Item 3. Legal Proceedings

From time to time we are party to litigation, claims and regulatory proceedings arising in the ordinary course of business. While the outcome of these matters is inherently uncertain, management does not currently expect them to have a material adverse effect on our consolidated financial position.

Item 7A. Quantitative and Qualitative Disclosures About Market Risk

We are exposed to market risks from changes in interest rates, foreign-currency exchange rates and commodity prices. We use derivative instruments, principally interest-rate swaps and foreign-currency forwards, to manage these exposures, and we do not enter into derivatives for speculative purposes. A hypothetical 100 basis point increase in

interest rates would not have a material effect on our interest expense given the predominantly fixed-rate nature of our borrowings.

Item 7. Management's Discussion and Analysis

Total revenue for fiscal 2023 was $23,946 million, an increase of 10.0 percent compared with the prior year. Operating margin was 21.8 percent and net income was

$3,812 million. The Upstream segment was our largest, contributing $23,499 million of revenue.

Segment revenue:

- Upstream: $23,499 million
- Refining: $355 million
- Renewables: $92 million

Results reflected the integration of prior acquisitions partly offset by

higher input costs.

Liquidity and Capital Resources

Long-term debt totalled $12,987 million, and cash and cash equivalents were $8,883 million. Capital expenditures were $1,431 million, primarily for capacity expansion and technology infrastructure. We did not pay a dividend during the year and prioritised debt reduction. We believe

existing cash, operating cash flow and our revolving credit facility will be sufficient to

fund operations for at least the next twelve months.